

Insurance: Insurance companies leverage AI for risk assessment and claims processing. AI governance ensures that these processes are unbiased and explainable. Data governance plays a role in maintaining the quality of customer and claims data, preventing erroneous AI-driven decisions.

Healthcare: AI-driven diagnostics and treatment plans in healthcare require stringent AI governance to avoid biases and ensure patient safety. Data governance ensures that medical records are accurate and securely managed, which supports the development of reliable AI models.

Retail: Retailers use AI for personalised marketing and inventory management. AI governance ensures that customer data is used responsibly and that AI recommendations are transparent. Data governance ensures that sales data and customer preferences are accurately captured and maintained.

Capital markets: In capital markets, AI models are used for trading algorithms and market predictions. AI governance ensures these models are transparent and do not manipulate the market. Data governance ensures that financial data is accurate, timely, and compliant with industry standards.

AI governance frameworks ensure that AI systems comply with data protection regulations, such as GDPR, by embedding privacy-by-design principles. Data governance ensures that data handling practices are secure and compliant, protecting sensitive information.

Responsible AI

Responsible AI refers to the development and deployment of AI systems that are fair, transparent, and accountable. For example, in the insurance industry, responsible AI ensures that underwriting decisions are explainable and free from bias, promoting trust among customers.

Explainable AI

Explainable AI aims to make AI decisions understandable to humans. In healthcare, this means that AI-driven diagnostic tools must provide clear reasons for their conclusions, allowing medical professionals to trust and validate the AI's recommendations.

Ethical AI

Ethical AI involves ensuring that AI systems adhere to moral and ethical standards. For instance, in retail, ethical AI ensures that customer data is not exploited for manipulative marketing practices, maintaining consumer trust.

AI models can sometimes generate inaccurate or biased outputs. AI governance addresses this by implementing rigorous testing and validation processes. Data governance ensures that training data is representative and unbiased, which helps in reducing AI hallucination and bias.

AI governance framework

An AI governance framework is a structured approach that outlines policies, principles, and practices to ensure the ethical development, deployment, and use of artificial intelligence (AI) systems. The core goal of an AI governance framework is to ensure that AI systems are safe, reliable, transparent, and compliant with regulatory standards. Here are the key components of an AI governance framework.

Accountability and oversight: AI governance begins with

establishing clear accountability within an organisation. This involves appointing specific roles such as an executive sponsor, an AI governance leader, and an oversight board. These roles are responsible for defining the organisation's AI strategy, ensuring that everyone understands what AI entails, and making the AI policy accessible to all relevant stakeholders.

Governance structures: Effective governance structures include well-defined roles and responsibilities, ensuring that there is a clear chain of command and decision-making process related to AI initiatives. This helps in maintaining consistency and adherence to the organisation's AI policies.

Regulatory compliance: Assessing regulatory risks is vital. Organisations must identify applicable AI regulations in their jurisdiction and align their practices with these laws. This

Implementing AI governance across industries

Industry	Governance feature	Implementation strategy
Banking	Bias mitigation	Regular audits of AI models for fairness and transparency.
Insurance	Explainability	Implementing tools that provide human-understandable explanations for AI decisions.
Healthcare	Data quality	Ensuring high-quality, unbiased training data for AI systems.
Retail	Ethical usage	Developing policies to prevent exploitative use of customer data.
Capital markets	Transparency	Creating transparent AI models to prevent market manipulation.